

STRATEGIC PETROLEUM RESERVE • IRAN–HORMUZ DISRUPTION
2026

The Signaling Reserve

v2.5

Why the United States' SPR exchange has functioned as active price suppression rather than supply remedy — and the contested deadline on which both the buffer and the diplomacy now run.

A FORENSIC RECONSTRUCTION • V1–V2.4 27 MAY–19 JUN • V2.5 25 JUN 2026 • DATA THROUGH 19 JUN (SPR) / 25 JUN (BRENT & SPREADS, TECITY BBG) • STATUS: RESOLVED BUT UNSETTLED — THE DECISIVE POST-DEAL SPR PRINT LANDED AT **−9.1 MB TO 331.2 MB** (LOWEST SINCE 1983), THE DRAW HOLDING AT PEAK EVEN WITH THE DEAL SIGNED — ACTIVE-MANAGEMENT READ CONFIRMED. WITH THE BLOOMBERG FEED RESTORED, THE DUBAI PROMPT PREMIUM HAS BLOWN OUT TO **~−\$13** (24 JUN) WHILE FRONT-MONTH BRENT SLID TO **~\$73**: PHYSICAL GULF TIGHTNESS REASSERTING AS THE HORMUZ REOPENING SNARLS IN AN IRAN/OMAN PERMIT-AND-TOLL DISPUTE.

WHAT CHANGED IN V2.5 (25 JUN) — THE DECISIVE PRINT LANDS; BLOOMBERG FEED RESTORED

Per instruction, this version keeps only the latest delta; the full version-by-version history remains in v2.4. (i) *The decisive post-deal SPR print is in.* For the week ending 19 Jun the SPR drew another **−9.1 mb to 331.2 mb** — its lowest since 1983 — i.e. the draw *held at peak rate* even though the interim deal had been signed (19 Jun) and Hormuz was nominally reopening. A passive supply remedy slows when the emergency ends; this did not, which upgrades the active-drawdown/management reading from hypothesis to the leading interpretation. (ii) *The Bloomberg spread feed is restored* (Tecity pull, 25 Jun), and it shows the Gulf prompt premium blowing out: Dubai front-month-minus-spot deepened to about **−\$13/bbl by 24 Jun** (from ~−

\$5 in early June) while the Brent spread sat near zero – acute physical tightness in the grade nearest Hormuz even as flat price collapsed. That is the structural snap-back signature the paper flagged: the physical market is not behaving as if the strait has truly reopened. (iii) *Flat price kept falling* – front-month Brent slid to ~\$73 by 25 Jun (from ~\$80 on 19 Jun), now roughly ~\$40 from the April peak. (iv) *The reopening turned contentious in the optical-branch way*: Iran and Oman announced a permit-based navigation system asserting authority over the strait, Oman is standing up a temporary toll-free IMO corridor, and Trump warned talks end immediately if Iran seeks tolls/insurance – the ISW noting Iran managing traffic and collecting fees would be a strategic win and major leverage. The Geneva nuclear track was abruptly postponed (19 Jun); Secretary Rubio toured the Gulf (UAE) to lock down full safe transit. (v) Gasoline (BBG US average) eased to ~\$4.54 by 23 Jun; EIA commercial crude fell a further -6.1 mb to 412.1 mb (an eighth straight weekly decline, ~7% below the five-year average).

ABSTRACT

In March 2026 the U.S. authorized a 172-million-barrel release from the Strategic Petroleum Reserve, structured as an *exchange* (loan-with-premium) rather than a sale, as its share of a coordinated 400-million-barrel IEA action against the Strait of Hormuz disruption. This paper reconstructs, from the EIA weekly inventory series, market spreads, and intraday tape, the gap between the program's *announced* parameters (172 mb; ~1.43 mb/day) and its *realized* execution (~84 mb delivered through 19 Jun; ~0.9 mb/day overall, peaking near ~1.30-1.43 mb/day, easing, then running back to ~1.28 in the week to 12 Jun). The release is shown to be physically incapable of clearing a 9-13 mb/day net Hormuz shortfall on its own. Its observable function, refined in v2, is **active suppression**: simultaneously pressing the prompt physical market (SPR barrels into spot) and the forward curve (announcement effect), aided by suppressed Chinese imports — three downward pressures on a market that would otherwise reveal the deficit. The compression is dated: remaining contracted SPR deliveries exhaust in late July / first week August at recent draw rates, which is also when independent analysts forecast Chinese demand to resume. The diplomatic resolution that would prevent reconciliation through dislocation has *not* arrived; a 60-day framework (ceasefire extension, Hormuz reopening, mine-clearing) has been tabled, sent back in early June over the maritime-control point, and then collapsed into renewed U.S.-Iran strikes by 9-11 June, with Iran re-declaring the strait closed (disputed by U.S. Central Command) while the futures curve flipped into backwardation across every grade (Dubai deepest, ~-\$5) even as front-month Brent eased to

~\$91 at settlement — the tightness showing in curve structure before price level. Then, on 11 June, the pendulum swung back: the President cancelled planned strikes and announced a "great settlement," a memorandum he himself called "a little conceptual." It resolved quickly: an interim agreement was declared complete on 14 June and signed in Switzerland on 19 June — reopening Hormuz, lifting the blockades, granting Iran ~\$300bn and sanctions relief while deferring the nuclear file to a 60-day window. Brent collapsed ~14% on the week to ~\$79 (–38% from the April peak), the whole curve repricing toward ~\$80. The reopening is gradual — hundreds of ships stranded, mines to clear, 30 days to prewar traffic — so this is the optical branch the paper flagged, not a clean soft resolution; and the SPR draw *held near its peak* into the de-escalation — the first post-deal print (week ending 19 June, released 24 June) came in at **–9.1 mb to 331.2 mb, the SPR's lowest since 1983**, even with the deal signed and Hormuz nominally reopening: the active-drawdown/management reading, not a benign wind-down. The crude reconciliation, the SPR contracted exhaustion, and the contested ceasefire window still converge on the same six-to-eight-week period — a configuration the paper terms the **contested deadline** — but the dislocation has begun arriving early, via diplomatic breakdown rather than buffer exhaustion.

01 Summary

THE ARGUMENT IN ONE SCREEN — V2.5

A strategic reserve is a **stock**; a supply crisis is a problem of **flow**. The 2026 SPR release cannot resolve the deficit at any plausible delivery rate; what it can do is buy time by pressing both ends of the futures curve down at once. v2 evidences this directly.

(i) The headline is a ceiling, not a delivery. Of 172 mb authorized, ~133 mb contracted across four tenders, ~84 mb physically delivered through 19 Jun. Realized lift averaged ~0.9 mb/day overall; the late-May weeks reached the advertised ~1.30–1.43 mb/day pace, eased, then the week to 12 Jun ran back up to ~1.28.

(ii) The drawdown ran at peak rate, briefly eased, then re-accelerated. Weekly draws of –8.6, –9.9, –9.1, –8.0, –7.9, then **–8.9 mb** (12 Jun) and **–9.1 mb** (19 Jun, stock 331.2 mb — the SPR's lowest since 1983). The dip to ~8 mb (late May/early June) looked like a benign taper; the week to 12 Jun put that to rest, re-accelerating as the war premium collapsed and the deal came together. DOE drawing *faster* as the crisis resolves is the opposite of a supply remedy winding down — it reads as pressing the price down or rushing to finish deliveries. The decisive post-deal print has now landed and the draw held at peak — DOE did not taper as the deal signed and Hormuz began reopening, the active-management signature.

(iii) Deep contango, then a June backwardation flip across every grade. On the Bloomberg futures basis (front-month minus spot), the grades nearest Hormuz showed the prompt crushed *below* the future through late May — Dubai

front-month \$11–16 above spot, outright contango — the mask of a deficit held down by SPR supply and absent Chinese demand. From 4 June the curve flips the other way, into backwardation across all four grades: Dubai deepest (front ~\$5 below spot, 4–10 Jun), Brent and Oman milder (~–\$1.5 to –\$2.5) and easing into 11 June. A prompt premium is the tightness signature the hard branch predicts — now measured in the corrected feed, not inferred. Through 11 June the dislocation showed in curve structure ahead of price level. Then the deal resolved it the other way: with the agreement signed, the *level* collapsed — front-month Brent ~–14% on the week to ~\$79, the whole curve to ~\$80 (Figure 4) — and on the restored Tecity Bloomberg feed the Dubai prompt premium has since deepened to ~–\$13 (24 Jun) even as Brent slid to ~\$73 — physical Gulf tightness reasserting while flat price collapses, the snap-back setup.

(iv) The contested deadline resolved — by a deal, not by exhaustion. The 60-day MOU was signed (19 Jun) before the buffer ran out: after the –9.1 mb week ~49 mb of contracted SPR remained (~84 mb lifted), roughly five weeks at the ~9 mb/week pace. So the diplomatic clock stopped first. What remains live is the *physical* reopening clock — 30 days to prewar Hormuz traffic, mines to clear, ~600 ships to move — and the buffer clock as a backstop if that reopening stalls.

(v) Retail products are a separate, structural clock — now feeding the macro. US average gasoline (BBG) eased to ~\$4.54 by 23 Jun (below the \$5.47 all-time high) as the crude collapse finally fed through, atop the structural refining picture (seven closures since 2019, ~92% utilization, lowest finished-fuel inventories since 2000). Even so, energy-led U.S. inflation had pushed above 4% during the war — and the structural

refining deficit means a clean crude resolution still does not deliver full retail relief; products remain the slow, separate clock.

NEW IN V2 · SUPPRESSION

The SPR exchange is not failing to be a supply remedy by accident — it was never structured to be one. Its function is **active price suppression**: pressing the prompt market down with finite physical barrels and the forward curve down with announcement effects, in service of buying time for diplomacy. The barrels and the signal are spent in the same act. When the barrels run out, the signal dies with them.

The contested deadline has now resolved — by a signed deal (19 Jun), ahead of the buffer. But the resolution is optical in shape: a 14-point MOU that reopens Hormuz on paper, hands Iran ~\$300bn and sanctions relief, and defers the nuclear file 60 days. The clocks did not all stop. The U.S. supply-buffer clock keeps ticking (SPR drawn to 331 mb — lowest since 1983 — ~49 mb of contracted barrels left, the draw *held at* ~9 mb/week right through the signing) and the Iranian revenue/blockade clock (export losses every day Hormuz stays shut) — which the deal is meant to stop. The market that spent late May pricing the soft outcome got it on 14–19 June and ran with it: Brent –14% on the week, the whole curve to ~\$80. The scoreboard turned toward resolution. The catch the paper has flagged from the start is that a signed, conceptual MOU is not the same as oil moving freely through Hormuz — and the SPR re-accelerating into the de-escalation says DOE, at least, was not done managing the price as the deal landed.

02 Thought Process

HOW THE QUESTION UNFOLDED — EXTENDED IN V2

Stage 1 — The accounting question

Was the exchanged oil still booked as SPR inventory while physically gone? Directionally the instinct was right (an exchange retains a government claim recorded as a receivable),

but the suspicion landed in the wrong ledger. The EIA series is physical and draws down on lifting.

Stage 2 — The execution forensics

Reading the four tenders against the weekly inventory series revealed the awarded-versus-delivered gap and the realized lift rate — roughly half the advertised pace for most of the program, only reaching the plan in its latest weeks. The advertised "1.43 mb/day" was real *as a plan*; delivery only approached it as the program matured.

Stage 3 — The scale test

Setting realized lift against the net Hormuz shortfall (~9-13 mb/day) showed the release covers a fraction of the gap for a limited duration. A physical remedy it is not.

Stage 4 — The mechanism & the clock

If not supply, then signal: the program suppresses the forward curve and buys time. That reframes "when does it end?" as "when are the physical and expectations markets forced to reconcile?" — a question answered by the prompt-versus-deferred spread.

Stage 5 (new in v2) — The suppression mechanism, visible

The late-May spread data and the SPR prints together force the v2 conclusion. The Gulf-grade curve did not behave as v1's "convergence" framing predicted — through late May the prompt was pressed *below* the future (Dubai front-month \$11-16 over spot), outright contango, while DOE drew at the design

ceiling: *both* spot and futures pressed down at once — SPR barrels into the prompt market, forward-curve guidance for the paper market, suppressed Chinese demand removing global pull. The contested deadline has now settled that question the other way. The early-June backwardation flip was not a managed hand-off to a real deal; within days the framework was sent back, the talks collapsed, and the war resumed — and the futures curve flipped into backwardation across every grade, the prompt premium the suppression had masked finally surfacing (Dubai ~−\$5). Tellingly, outright Brent only eased to ~\$91 over the same days: the dislocation is emerging in *curve structure* first, while the still-substantial buffer caps the level. The calm was bought; when the diplomacy the barrels were buying time for failed to arrive, the suppression began to give way to the tightness it had deferred — surfacing in the structure, via diplomatic breakdown ahead of, not because of, the buffer running dry. The resolution then arrived the way the paper had marked most likely and most under-priced: not a clean soft settlement but an interim, optical one — a signed MOU that reopens Hormuz on paper, pays Iran, and defers the nuclear file — on which the market nonetheless priced a full resolution, collapsing crude ~14% on the week to ~\$79. And in the final irony for the supply-remedy story, DOE did not ease into the de-escalation; it drew *faster* (−8.9 mb) as the war premium came out — which the post-deal print (19 Jun) has now answered: it held at peak, −9.1 mb to 331.2 mb.

Stage 6 (new in v2) — The contested deadline

If the suppression is active and finite, then its duration is the strategic variable. Both negotiating parties can compute the buffer-exhaustion date from public data. Iran's incentive is to delay any concession until that date approaches and U.S.

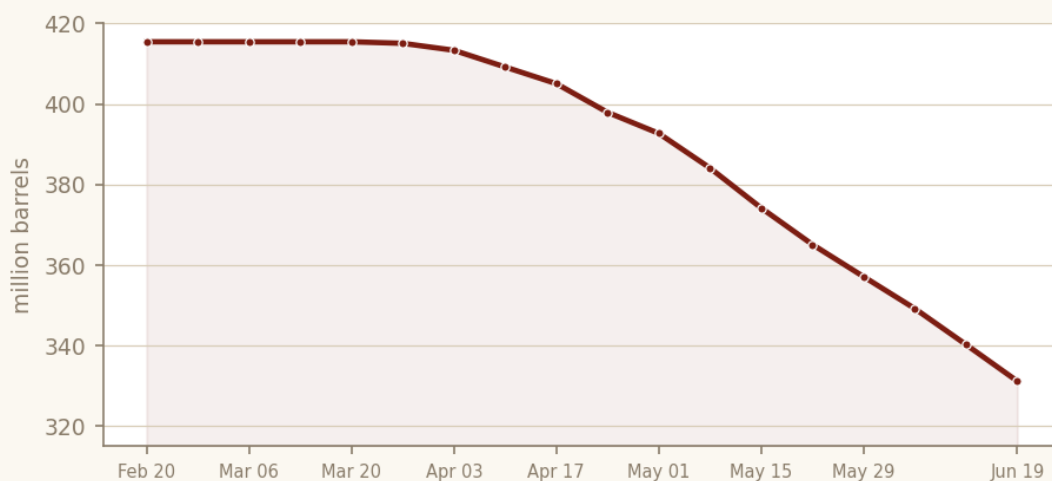
leverage decays; the U.S. incentive (per Trump's "we'll out-wait him") is to deny that any concession is forthcoming on Iran's clock. The leaked-but-mutually-disowned MOU was sized to 60 days — almost exactly the remaining contracted SPR delivery window. The market structure and the diplomatic structure are now visibly synchronized to the same date.

03 Proof

THE DATA, RECONSTRUCTED AND UPDATED

FIGURE 1 • EIA WCSSTUS1 / DOESSPR — UPDATED THROUGH 19 JUN

SPR physical inventory — the draw re-accelerated into the de-escalation, not tapered



Source: EIA weekly series, thousand barrels. Inventory flat at ~415.4 mb for a month after the 13 Mar announcement, then accelerating through April–May to three consecutive record draws (May 8, 15, 22), easing to ~8 mb (29 May–5 Jun), then re-accelerating to -8.9 mb (12 Jun) and **-9.1 mb in the week to 19 Jun (331.2 mb — the SPR's lowest since 1983)**, the draw holding at peak even as the deal signed and Hormuz began reopening. A passive supply remedy would slow as the crisis resolves; this did the opposite. Total drawdown to 19 Jun ≈ 84 mb of the ~133 mb contracted; the decisive post-deal print is now in — and it confirms active drawdown.

The weekly drawdown ledger — accelerating

WEEK ENDING	STOCK (MB)	Δ WEEK (MB)	IMPLIED MB/DAY
Feb 20 – Mar 20	415.44	~0.00	~0.0
Mar 27	415.06	-0.38	0.05
Apr 03	413.33	-1.74	0.25
Apr 10	409.18	-4.14	0.59
Apr 17	405.05	-4.14	0.59
Apr 24	397.92	-7.12	1.02
May 01	392.70	-5.22	0.75
May 08	384.10	-8.61	1.23
May 15	374.18	-9.92	1.42
May 22	365.11	-9.06	1.30
May 29	357.12	-7.99	1.14
Jun 05	349.19	-7.93	1.13
Jun 12 (v2.4)	340.25	-8.94	1.28
Jun 19 (v2.5)	331.19	-9.06	1.29

The highlighted rows are the v2 evidence and the v2.4 reversal. The three middle weeks ran at the design ceiling even as crude and the forward curve declined — DOE spending barrels at peak rate *to maintain* the easing. The late-May/early-June prints eased to ~8 mb, which v2.3 read as a benign-leaning taper.

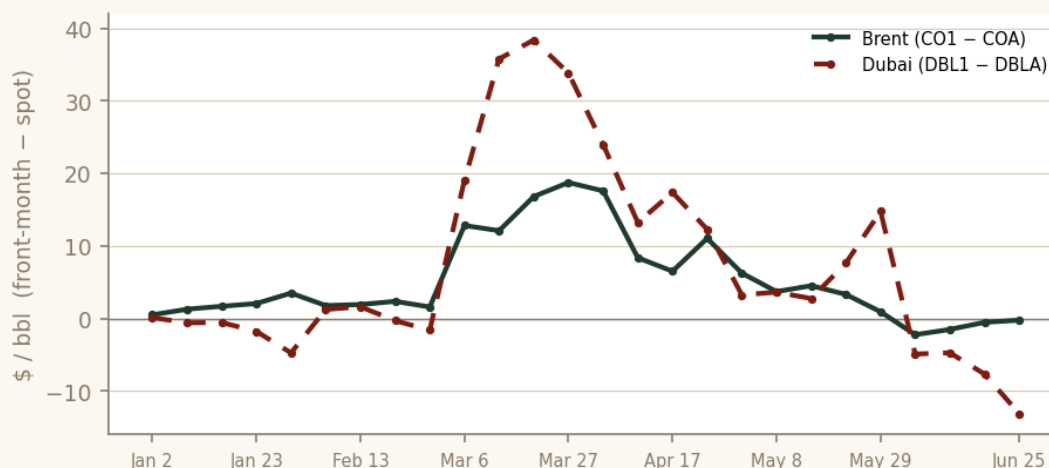
v2.4 retracts that lean: the week to 12 Jun re-accelerated to -8.9 mb — as the war premium collapsed and the deal came together. A supply remedy slows when the emergency passes; this sped up. The cleanest read is that DOE was pressing barrels into a falling market (amplifying the de-escalation) or rushing to complete the remaining ~49 mb before wind-down

— either way, active drawdown, not a passive taper. §06's distinguishing test has now run: the week ending 19 Jun printed **−9.1 mb to 331.2 mb** (the SPR's lowest since 1983) — the draw *held near its peak rate* even with the deal signed and Hormuz nominally reopening. That is the management signature, not the benign one: a passive remedy stops when the emergency ends; this did not. Active drawdown is now the leading reading, not merely a hypothesis.

The prompt-physical spread — compressed past convergence

FIGURE 3 · FRONT-MONTH MINUS SPOT (BLOOMBERG FUTURES BASIS)

From pre-war calm, to war-onset contango blowout, to a June backwardation flip across all grades



Weekly series on the Bloomberg futures basis, **front-month minus spot** (CO1-COA, DBL1-DBLA): *positive* = *contango* (prompt below the future), *negative* = *backwardation* (prompt premium). Pre-war (Jan-Feb) the spreads sit near zero – a normal market. From the late-Feb war onset the Gulf-proximate Dubai grade blows out into extreme contango, front-month peaking ~\$38 above spot in mid-March – the prompt crushed far below the future even as a supply crisis was supposedly raging, the central anomaly the suppression thesis explains. The contango compresses through April-May; then in June the curve **flips into backwardation across every grade** – Dubai deepest (front-month ~\$5 below spot, 4–10 Jun), Brent and Oman milder (~\$1.5 to ~\$2.5) and easing into 11 Jun. A prompt premium is the tightness signature the hard branch predicts, now measured rather than inferred – though front-month Brent itself eased to ~\$91 at settlement over the same days, so the dislocation showed in *curve structure* before *price level*. On the restored Tecity Bloomberg feed (pull 25 Jun) the spreads now run cleanly through 25 Jun, and the structural signal is loud: the Dubai front-month-minus-spot deepened to about **-\$13/bbl by 24 Jun** (from ~\$5 in early June), an acute prompt premium in the grade nearest Hormuz, while the Brent spread held near zero – physical Gulf tightness reasserting even as flat price collapsed toward \$73. Curve structure is again showing what price level is not: the strait has not physically reopened the way the headline deal implies. (Dubai/Oman print front=spot on 1–3 Jun, a three-day roll artifact, omitted.)

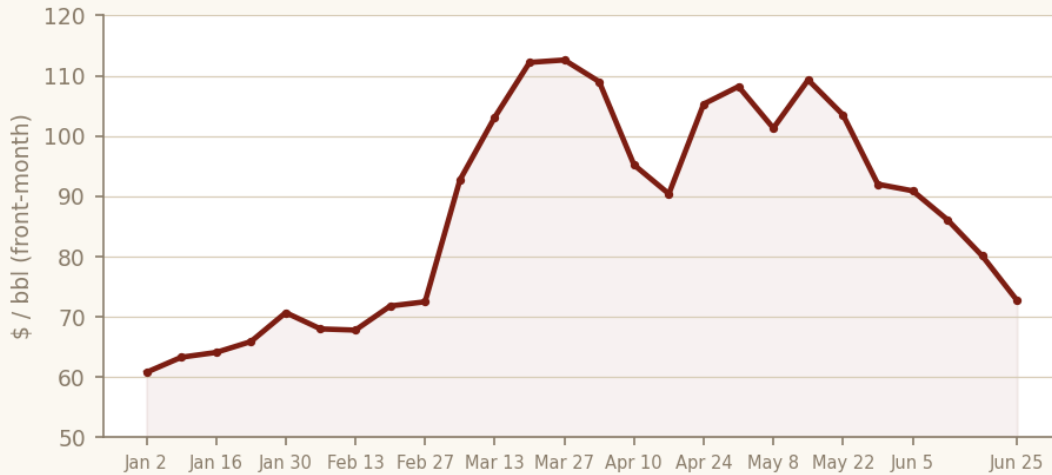
The deep Gulf-grade contango is the cleanest single piece of evidence in the paper. A genuine 9-13 mb/day net Hormuz deficit cannot coexist with the grades nearest Hormuz trading \$11-16 *below* their own front-month. The only way both are true at once is if the prompt is being masked by active physical supply (SPR barrels reaching the spot window) and absent demand (China) — both dated, both finite. On the Bloomberg basis the effect is larger than the prior Dated read showed. The early-June unwind toward backwardation, occurring as the whole complex falls rather than rises, is consistent with the suppression being relaxed into a market pricing de-escalation — not with a deficit reasserting. That distinction is the soft-vs-hard fork, and it turns on whether a deal actually signs.

The war-premium round-trip

The clearest picture of the whole episode is the outright front-month itself. Brent began the year in the low-\$60s on an oversupplied, pre-war market; the 28 February war and the Hormuz closure drove it to a ~\$112 front-month peak (Dated Brent spiked far higher); the SPR release, suppressed Chinese demand, and recurring deal-hope then ground it back down through the spring; and the 14-19 June agreement collapsed the remaining premium, returning Brent to ~\$79 — below where the suppression-and-signaling effort had held it for months.

FIGURE 4 · ICE BRENT FRONT-MONTH (C01)

The war premium, round-trip: low-\$60s → ~\$112 peak → ~\$79 on the deal



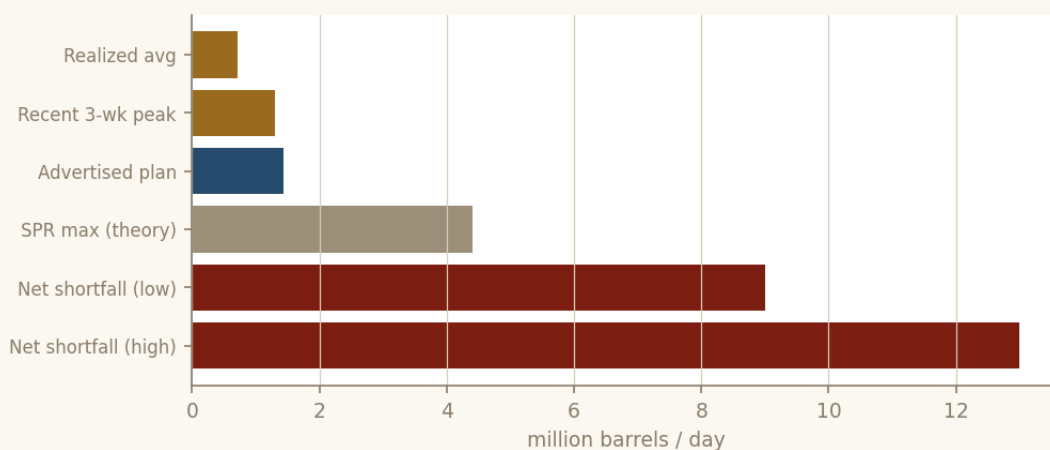
Weekly front-month Brent close (Bloomberg C01), Jan–19 Jun 2026. Pre-war calm in the low-\$60s; the late-Feb war and Hormuz closure spike the front-month above \$110 (physical Dated Brent traded higher still); a volatile spring plateau in the \$90s–\$100s as SPR barrels, absent Chinese demand, and repeated deal-hope cap the rally; then a ~\$33 collapse from the late-May peak to ~\$79 by 19 Jun as the interim deal is reached and signed. The level is now below the pre-deal range the program defended – the war premium has fully round-tripped, even as physical reopening of the strait remains gradual and unfinished.

On 28 May, WTI front-month and Brent front-month rallied in lockstep on truce headlines to +4%, then faded together as the framework was disowned. The two benchmarks moved as one across the session — the signature of a market pricing a single global signal (the diplomatic clock) rather than independent fundamentals. The fade pattern repeats the cycle observed since March: rally on resolution-hope, fade as substance fails to arrive. Each cycle consumes barrels and credibility.

Announced vs. realized vs. the deficit

FIGURE 2 • SCALE COMPARISON

What was promised, what moved, what was needed (mb/day)



Even the recent-3-week peak lift (~1.30) is far below the net Hormuz shortfall (~9–13). The reserve's theoretical maximum (~4.4) still could not clear the deficit. Physical remedy was never the available function.

Analyst voices — the consensus that emerged independently

JOE DELAURA • RABOBANK • 28 MAY

"The oil market is very complacent right now... By mid-July — if China starts importing again when the SPR releases end — we are in the hockey-stick-upward inflection point for so many refined products."

STANDARD CHARTERED RESEARCH • VIA OILPRICE / DISCOVERY ALERT

Identifies four price-suppression mechanisms each with an expiry timeline; warns futures will be "pulled up toward elevated physical benchmarks" unless a deal is struck. Confirms the record consecutive weekly SPR draws.

CHRIS WESTON • PEPPERSTONE GROUP • 28 MAY

"Markets are pricing in the prospect of a deal through a strong glass-half-full mindset; the scope for the parties walking away from the negotiating table remains a clear risk."

TRACY SHUCHART • RENEGADE RESOURCES • 10 MARCH

"300 to 400 million barrels is a number designed to move headlines for 48 hours; it is not a number designed to move molecules to where they are needed." (Published the day before the program launched; thesis subsequently validated by every metric in this paper.)

04 Verification

EVERY CLAIM, CHECKED AGAINST THE RECORD

- ✓ **EIA series is physical, not receivable.** Confirmed via 2011 precedent and series definition. The ~84 mb cumulative drawdown (through 19 Jun) is real barrels gone.

VERIFIED — PRIMARY SOURCE

- ✓ **Four tenders; ~133 mb awarded of 172 mb; ~84 mb delivered through 19 Jun.** Awarded total: 45.2 + 8.5 + 26 + 53.3 mb. Delivered confirmed against EIA weekly prints.

VERIFIED — DOE + EIA

- ✓ **Record draws May 8-22, brief ease, then re-acceleration through 19 Jun.** -8.6, -9.9, -9.1, -8.0, -7.9, -8.9 (12 Jun), then -9.1 mb to 331.2 mb (week ending 19 Jun). The early-June ease (~8 mb) reversed and the draw held at peak right through the signing. Cumulative ~84 mb of ~133 contracted.

VERIFIED – EIA

- ✓ **Gulf-grade deep contango → June backwardation flip across all grades.** Dubai front-month \$11-16 above spot 26-29 May (contango); from 4 Jun the curve flips into backwardation — Dubai deepest (~-\$5, 4-10 Jun), Brent/Oman ~-\$1.5 to -\$2.5, easing into 11 Jun. Prompt premium is the hard-branch tightness signal; outright Brent nonetheless eased to ~\$91, so the signal is in structure first. (Dubai/Oman 1-3 Jun front=spot is a 3-day roll artifact, omitted.)

VERIFIED – BLOOMBERG, THROUGH 11 JUN

- ✓ **Hockey-stick / mid-July inflection thesis.** Independently published by DeLaura (Rabobank, Bloomberg interview 28 May), Weston (Pepperstone), and the StanChart "four mechanisms" framework. Convergent across desks.

VERIFIED – MULTI-SOURCE CONSENSUS

- ✓ **Structural US refining tightness.** EIA forecast (Feb 2025, pre-war) projected 2026 fuel inventories to lowest since 2000; seven major closures since 2019 removed >1.2 mb/day capacity; utilization ~92%; late-May retail \$4.99-5.61 regionally on outages.

VERIFIED – EIA PRIMARY

- ✓ **MOU framework: collapse, then a sudden deal announcement.** The draft was sent back ~1 Jun over maritime control and nuclear timing; talks broke into renewed strikes (9–10 Jun). Then on 11 Jun the President reversed — cancelling strikes and announcing a "great settlement," a "conceptual" MOU to be signed in Europe within days, claiming Iran's leadership approved it and the strait would reopen on signing. But Iran did not confirm; Israeli and Iranian officials said it is not complete; Israel is not a party. It then signed: an interim 14-point MOU declared "complete" 14 Jun and signed in Switzerland 19 Jun — reopens Hormuz, lifts the dueling blockades, ~\$300bn to Iran, sanctions-relief path, nuclear file deferred to a 60-day window. The optical branch realized: a headline reopening whose physical substance (mine-clearing, ~600 stranded ships, 30-day timeline) is still unfolding.

DEAL SIGNED – NPR / ABC / ENERGYCONNECTS; PHYSICAL REOPENING IN PROGRESS

- ≈ **Active-suppression intent (vs. passive easing).** The peak-rate draw alongside deep Gulf-grade contango through late May is the smoking-gun pattern. v2.3 had read the early-June ease as benign-leaning; **v2.4 reverses that:** the draw re-accelerated to –8.9 mb the week the war premium collapsed and the deal landed — DOE drawing *faster* as the emergency resolves, the opposite of a passive remedy. That is consistent with pressing the price down or rushing to finish deliveries. The clean post-deal test has now run: the week-ending-19-Jun print held at –9.1 mb (331.2 mb, lowest since 1983) with the deal signed and Hormuz nominally reopening — DOE did not taper as the emergency ended.

UPGRADED – POST-DEAL DRAW HELD AT PEAK; MANAGEMENT READ NOW LEADS

- ≈ **Iran "run-the-clock" delay strategy.** Consistent with observable behavior (unresolved maritime point, "agreed on nothing" framing, leak-then-deny pattern) and with the matched 60-day duration. The 11 Jun collapse — and Trump's own "they are stalling" framing — is consistent with it, though the outcome (US escalation rather than concession) cuts against the premise that delay favored Tehran. Inference about intent, not provable from data.

WELL-REASONED HYPOTHESIS, NOT DATA-PROVEN

- ✓ **Escalation and re-closure (9-11 Jun).** US helicopter downed near the strait; two days of US strikes on Iran; Iranian retaliation at US facilities in Bahrain, Jordan, Kuwait; Iran re-declared the strait closed (US CENTCOM denied). Then on 11 Jun the President cancelled further strikes and announced a "great settlement" (conceptual MOU, signing expected in Europe within days, unconfirmed by Iran, Israel not a party). The futures curve flipped to backwardation (Dubai ~-\$5); outright Brent settled ~\$90 (-3%) on the deal news; energy-led US inflation above 4%; commercial crude down a seventh straight week.

VERIFIED – TIMES OF ISRAEL / AFP / CNBC / AP / BRITANNICA

- ✓ **Resolution and oil collapse (14-19 Jun).** Interim deal signed; front-month Brent ~-14% on the week to ~\$79 (-38% from the April peak), the whole curve repriced to ~\$80 out to 2027; gasoline eased to ~\$4.63. Hormuz reopening underway but gradual — some vessels began transiting; ~600 ships stranded; Chevron and analysts caution full normalization "will not be quick." Cushing crude near ~20 mb. *Inference:* the market priced a clean resolution off a partial, interim deal — leaving snap-back risk if the physical reopening stalls.

VERIFIED PRICES/DEAL; REOPENING-EXECUTION UNVERIFIED – TRADINGECONOMICS / NBC / CNN

- ≈ **Physical reopening becoming a managed/permit regime; Gulf prompt premium widening.** Iran and Oman announced a permit-based navigation system asserting authority over the strait; Oman is creating a temporary toll-free IMO corridor; Trump warned talks end if Iran charges tolls/insurance; ISW: Iran managing traffic and collecting fees = strategic win and leverage. Geneva nuclear talks postponed 19 Jun; Rubio toured the Gulf for safe-transit guarantees. Meanwhile Dubai front-month-minus-spot deepened to ~-\$13 (24 Jun) on the restored BBG feed — physical tightness, not free flow.

VERIFIED REPORTING – NPR / EURONEWS / ISW / STATE DEPT; FREE PASSAGE UNRESOLVED; DUBAI SPREAD PER BBG

The pattern across the verification ledger is consistent: the data-driven claims survive, the attribution claims fray, the inference-about-intent claims sit as well-supported hypotheses awaiting their distinguishing tests. The paper distinguishes these tiers explicitly rather than collapsing them.

05 Outlook — Two clocks, one window

THE CONTESTED DEADLINE: LATE JULY TO FIRST WEEK AUGUST

The v1 framing — soft landing vs. hard reconciliation — is preserved but reorganized. The decisive variable is no longer "when do buffers exhaust" in the abstract; it is whose clock binds first in the contested deadline.

The U.S. supply-buffer clock

Remaining contracted SPR deliveries: ~49 mb of the ~133 mb awarded after the -9.1 mb week to 19 Jun. At the recent ~9 mb/week pace that would exhaust in **~6 weeks — still inside the late-July window** — but the deal (19 Jun) reached resolution first, so the buffer is now a backstop rather than the binding clock. Behind it, the operational floor — revised to **~200 mb on the Tecity in-house estimate (analyst Zilin)**, above the ~150 mb level conventionally cited — sits only ~131 mb below the current 331 mb stock; commercial crude is drawing for an eighth straight week, so there is materially less cushion behind the SPR than the standard floor implies. Independent forecast (DeLaura, Rabobank): Chinese demand resumes mid-July, removing the third suppressor. What v2.3 changes is the *trigger*: the dislocation no longer waits on buffer

exhaustion. The 9-11 June swings — collapse and re-closure, then a sudden deal announcement — show the reconciliation can be forced (or deferred) by headlines well before the buffer empties, with stock still ~49 mb from contracted-empty. The buffer clock now sets the ceiling on how long any renewed suppression could even be attempted, not the timing of the break, which diplomacy is driving day to day.

The Iranian revenue/blockade clock

Iran is bleeding export revenue every day Hormuz stays shut and the U.S. naval blockade holds. Iran has requested unfrozen access to \$12bn in frozen assets in the MOU — i.e. liquidity to span its clock. Aramco's ~100 mb/week global supply loss is matched by Iran's own stranded exports. Iran's clock binds whenever its FX/revenue position becomes politically unsustainable, which is unobservable from outside but is on its own decay path.

The three endgames

Soft (diplomatic, full) — partially realized, execution pending: the 60-day MOU signs *and* delivers genuine free passage (no tolls, mines cleared, insurers treating the strait as open), crude reconciles to the deferred curve's ~\$65-70 anchor, products stay structurally elevated. This was the late-May base case the ~20% crude drop priced; it receded into the 9-10 June strikes, then returned on 11 June when the President announced a "great settlement" and oil fell ~3%. But the *full* soft case requires the signed text to deliver genuine free passage — and the announced MOU is "conceptual," unconfirmed by Iran, with Israel not a party. So the tape is again pricing a deal, but whether it is the *soft* deal (real

reopening) or merely the optical one is exactly the unresolved fork.

Middle (optical) — this is what landed: the MOU signs and headline-reopens Hormuz, but the reopening is partial — escorted, toll-laden, slow-to-clear-mines, or kept under Iranian "management" — so physical free flow lags the announcement. Futures rally on the signing; the suppression props (SPR, China) lift on schedule into a market whose *physical* deficit hasn't actually closed. The market briefly believes the deal is the resolution before discovering it is not. This is the configuration the curve is least equipped to recognize, and v2.2 raises its weight: the live sticking point is precisely maritime control, and an experienced commodities voice (ICMA's Parker) has publicly warned that even if Hormuz opens, the opening will likely be only partial, citing refinery damage, depleted inventories, and tanker-security frictions. The reported terms (no tolls, 30-day mine-clearing) describe the soft case; whether the signed text and the physical execution deliver it is the fork. This is what landed. The signed MOU (19 Jun) reopens Hormuz on paper and the market priced a clean resolution — Brent to ~\$79, the curve to ~\$80 — but the physical substance (escort terms, mine-clearing, insurer confidence, ~600 stranded ships, a 30-day timeline) is only beginning. The paper had flagged this as the under-priced case; the gap between a signed conceptual MOU and oil actually moving freely is exactly where the residual risk now sits.

Hard (physical) — flared 9-10 Jun, now dormant; the live tail-risk is a reopening that stalls: the 9-10 June collapse pushed hard toward this branch before the buffer ran dry — the curve detached at the prompt (backwardation across all grades, Dubai deepest ~-\$5) — then the deal collapsed the level

instead. The branch is not gone but inverted in form: with the market now priced for clean resolution, the hard outcome would arrive as a *snap-back* if Hormuz fails to physically reopen — one analyst on the record warning of a move into the mid-to-high \$100s later this summer if normal transit does not materialize. Front-month Brent *eased* to ~\$91 (the intraday \$95 spike faded); refined-product and macro pressure show in energy-led inflation above 4%. The tightness is in structure ahead of level. The distinctive v2.3 point: this branch is being triggered by *diplomatic breakdown and renewed closure*, not by SPR exhaustion — the buffer still has ~49 mb of contracted barrels. So the early dislocation lands into a market still partly cushioned, but one whose cushion is finite and whose positioning was set for resolution — the source of the violence if it continues.

The product clock — running independently underneath

Whichever crude branch resolves, U.S. refined products are on their own structural clock: EIA-forecast 2026 inventories at 2000-era lows, ~92% utilization, no spare capacity, seven major closures since 2019. A clean Hormuz deal cannot deliver consumer relief on the timeline a soft-landing crude resolution would imply. This decouples the political payoff of a deal from the diplomatic incentive to sign one — and arguably reduces the threshold at which the U.S. accepts unfavorable terms, since the deal does not buy as much retail relief as in past precedent.

06 Risk Assessment

WHAT WOULD CONFIRM OR FALSIFY THE SUPPRESSION AND CONTESTED-
DEADLINE READS

RISK

The single distinguishing test for the suppression thesis has now resolved. **The first clean post-deal print (week ending 19 Jun) drew -9.1 mb to 331.2 mb — the draw held at its peak rate even with the deal signed and Hormuz nominally reopening.** DOE did not taper as the emergency ended, which is the active-management signature, not the benign one. The residual question is narrower: whether the draw finally stops once the program's remaining ~49 mb of contracted barrels run out (~5 weeks at this pace), or whether DOE keeps pressing even past the contracted program — the latter would be near-conclusive.

Tells the soft branch is recovering. A *signed* MOU (not a "fully negotiated" claim amid strikes) with the maritime-control point resolved and mines clearing on schedule; a sustained ceasefire holding through more than a single news cycle; the outright price falling back toward the high-\$80s; gasoline resuming its decline once the escalation washes through.

Tells the hard branch is winning (several now present). Talks collapsed and the strait re-declared closed (present); the Gulf-grade curve already in backwardation, Dubai ~-\$5 (present — the leading structural tell); next would be that backwardation *deepening and broadening* with outright Brent turning up (so far the level has eased to ~\$91, so this leg is not yet present); SPR draws snapping back toward 9 mb/week as

the floor nears (not yet — draw still ~8); Cushing toward minimums; product cracks blowing out; energy-led inflation climbing further from the >4% already printed.

Optical-deal risk (the under-priced middle case). A signed MOU that headline-reopens Hormuz without delivering physical free passage would trigger a futures rally while leaving the deficit broadly intact. Detection signal: a deal is announced but the post-roll Dubai/Oman spread does *not* normalize and tanker transits stay thin — the Asian physical market shows the truth first, because partial/escorted/tolled reopening appears in transit counts before headlines. Watch the Hormuz transit tally and the Dubai/Oman spread as the two independent verifiers of any announcement. ICMA's Parker has already flagged a partial opening as the likely case.

Positioning risk. A forward curve still anchored to resolution — the long end pinned near ~\$65-70 — leaves the market structurally under-hedged for failure. This is starting to show in the curve, not yet the level: the front has flipped to backwardation (prompt premium, Dubai ~-\$5) while the long end holds its ~\$65-70 anchor and outright Brent has only eased to ~\$91 — the structural precursor to the violent front-end move, with the move itself still ahead if the prompt premium broadens.

Head-fake risk (now bilateral). The rally-fade-deny cycle repeated since March and reached its sharpest form on 11 Jun — but this time it terminated in an actual signing (19 Jun), so the head-fake risk has largely discharged. The residual is the mirror image: a *signed* but conceptual/interim MOU is now being treated as a done deal, when the physical reopening (mines, escorts, insurers, ~600 stranded ships) is what determines whether the priced resolution holds. Discount both

"deal imminent" *and* definitive "strait closed/open" claims (Iran asserted closure; US CENTCOM denied) until confirmed by both sides and by tanker-transit data, not headlines.

Escalation risk. Combat continued through the talks (US strikes in southern Iran; Iranian ballistic missiles toward Kuwait), raising the probability that the U.S. abandons negotiation for force if the clock runs out — which removes Iran's leverage but does not necessarily reopen Hormuz quickly.

Partial-reopening risk. An intermittent, escorted, tolled, or "Iranian-managed" reopening smears the binary into a prolonged muddy tightening, stretching the timeline and blunting both the supply-buffer urgency and the diplomatic incentive to settle. This is the same configuration as the optical branch and is now the live sticking point.

Data-latency and data-integrity risk. The SPR print is now through 19 Jun (−9.1 mb to 331.2 mb — the decisive post-deal datapoint, which held at peak); Brent and the front-month-minus-spot spreads are refreshed from the Tecity Bloomberg pull through 25 Jun, and the earlier spot-field break is resolved in this feed; gasoline (BBG) through 23 Jun. The signing is reported and a US official says the MOU has taken effect, but the physical reopening of Hormuz is still in progress and unverified. Treat the resolution as priced-in but not yet physically complete.

A reserve sized by stock-flow thinking is now being defended by exploiting the gap between stock and flow — but the same barrel cannot be both spent into the spot market and held as a buffer. The signal and the supply are spent in the same act. Conservation of matter sets the clock.

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v2.5 working paper (the decisive print; oil data refreshed from the Tecity Bloomberg pull, 25 Jun). Analytical reconstruction for informational purposes only – not investment, legal, or financial advice. Figures are from public reporting and may contain estimation error; China SPR / Chinese imports figures are analyst estimates as official data is not published. SPR data is through 19 Jun (–9.1 mb to 331.2 mb); outright Brent and the front-month-minus-spot spreads are refreshed from the Tecity Bloomberg pull through 25 Jun, and the earlier spot-field break after 11 Jun is resolved in this feed; gasoline (BBG US average) through 23 Jun. Per instruction, this version keeps only the v2.5 delta in the change-log; the full version history remains in v2.4. Diplomatic developments through 19 Jun are from news reporting: an interim MOU was declared complete (14 Jun) and reported signed in Switzerland (19 Jun), with a US official saying it had taken effect, but the physical reopening of Hormuz remained gradual and unverified at time of writing. The suppression-intent read is further strengthened: the post-deal print (19 Jun) held at –9.1 mb with the deal signed and Hormuz nominally reopening – the management signature. The branch and two-clocks framings are strategic-inference readings, not proven accounts of intent. The suppression thesis is strong-circumstantial; the post-deal print re-accelerated to –9.1 mb (peak rate) as the deal landed, so its distinguishing test now points to active management rather than a benign taper. The hard-branch verdict reflects events as of 11 Jun and could be reversed by a signed, executed deal. The contested-deadline and two-clocks framings are strategic-inference readings, not proven accounts of intent.